# Market Capitalization vs. Shareholders' Equity

Reliance Industries Limited and Colgate-Palmolive (India) Limited | Market prices dated 16 October 2026; balance-sheet figures FY2025-26

**The key distinction:** market capitalization is the market's current value of the listed shares (share price multiplied by shares outstanding). Shareholders' equity, also called book equity or net worth, is an accounting balance-sheet amount (assets minus liabilities). They measure different things and are not expected to be equal.

| Measure | Reliance Industries (RIL) | Colgate-Palmolive (India) | How to read it |
|---|---|---|---|
| **Share price / date** | INR 1,211.20, 16 Oct 2026 close | INR 1,771, 16 Oct 2026 close (screenshot) | A market quote for one share; moves every trading day. |
| **Market capitalization** | INR 16,37,436 crore (approx.) | INR 48,166 crore (screenshot) | Share price x all shares outstanding. Market value of listed equity. |
| **Balance-sheet equity / net worth** | INR 8,67,828 crore (FY26, consolidated net worth) | INR 1,584.11 crore (FY26, company balance-sheet equity) | Book amount belonging to equity holders; not the stock-market value. |
| **Market cap / reported equity** | About 1.9x | About 30.4x | A simple market-value-to-book-value comparison. Basis differs: RIL consolidated; Colgate standalone. |
| **ROE / return on net worth** | 14.7% (RIL report; standalone ratio) | About 82.7% in screenshot; FY26 audited company ratio is 81% (81.6% using average equity) | Profit relative to book equity. Not a return earned on market cap or purchase price. |
| **ROCE** | 11.0% (RIL report; standalone ratio) | 108% in screenshot; company FY26 ratio is 119% using its own definition | Operating profit relative to capital employed; definitions vary by provider. |
| **Book value per share** | INR 668.0 (FY26 annual highlights) | INR 58.2 (screenshot; FY26 balance sheet implies ~INR 58.2) | Book equity per share. Compare price to this for price-to-book. |

## What the comparison says

**RIL:** its market cap is about 1.9 times the reported consolidated net worth. That is a broad price-to-book comparison, not a direct valuation verdict. RIL is a diversified group, so book equity, segment earnings, debt, subsidiaries and minority interests all matter.

**Colgate:** the market values its equity at about 30 times book equity. That premium reflects investors valuing earnings power, brands and other assets beyond the balance-sheet book amount. It also means the market price is far above accounting book value; a high ROE alone does not establish that the shares are cheap.

**For ROE:** the denominator is total shareholders' book equity, which includes equity belonging to all owners, not only free-float shares. Market capitalization is not used in the standard ROE calculation.

## Calculation notes

Colgate market cap / equity = INR 48,166 cr / INR 1,584.11 cr = 30.4x. RIL market cap / reported consolidated net worth = INR 16,37,436 cr / INR 8,67,828 cr = 1.89x. The screenshot's Colgate price-to-book is INR 1,771 / INR 58.2 = 30.4x. Small differences can arise from timing and share counts. RIL's annual-report ROE/ROCE figures are reported on a standalone basis; its net worth used above is consolidated, so do not treat those ratios and net worth as one matched calculation.

## Sources


• Reliance Industries, Integrated Annual Report FY2025-26: company annual report and financial highlights (consolidated net worth INR 8,67,828 cr; standalone RONW 14.7%, ROCE 11.0%, book value/share INR 668).

• Reliance closing price and market cap, 16 Oct 2026: Business Standard quote.

• Colgate-Palmolive (India), FY2025-26 audited report and ratio definitions: Colgate investor annual reports. Colgate market cap, share price, book value and ratios: user-provided screenshot dated 16 Oct 2026; audited equity cross-check from the FY26 report.



Educational comparison only; this is not a buy/sell recommendation. Market prices and market caps change. Always compare ratios using the same reporting basis and definition.